

2026 BIEN Congress - Taiwan UBI Forum

Tailored UBI Policy Proposal for Taiwan: Why **Youth Basic Income** is the Beachhead



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2026.08.20

AGENDA

1. Problems & Challenges Taiwan Society is Facing

2. UBI as a Solution to the Future Social System

3. Youth Basic Income Policy Proposal for Taiwan

- ① 【 Allocation // Who Gets It? 】 Social Challenges × Policy Direction
- ② 【 Provision // How Much? 】 Basic Living Standard × Pragmatic Metrics
- ③ 【 How to Deliver? 】 Large-scale G2P Efficiency × Data-Driven Policy
- ④ 【 Finance // Budget Plan? 】 Existing Taxation × New Funding Sources
- ⑤ 【 Supporting Measures 】 Feasibility × Predictability × Sustainability

4. UBI Taiwan's Expectation on Policymaking

What challenges our society is facing? Why talk about UBI?

AI & Robotics

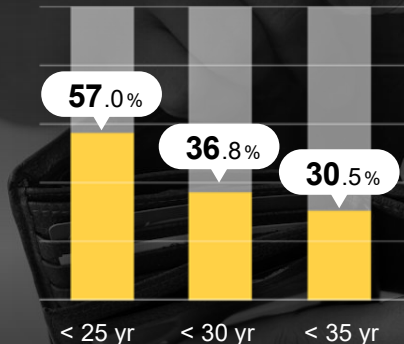
As AI disrupting entry-level white-collar jobs across industry, the **career ladder for most youth** is rapidly disappearing.



Gen-Hopeless

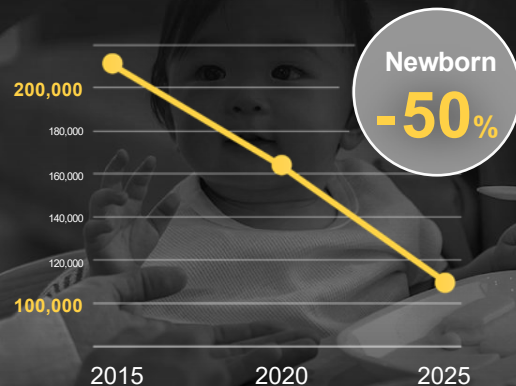
Real wages have been stagnant for a long term, and the **Working Class** sees **little hope** for a turning around.

Labors under Minimum Wages (%)



Social Crisis

Taiwan has seen **more deaths than births for 67 consecutive months**. Youths are giving up on marriage and childbirth.



AI is replacing white-collar jobs, and reshaping the economy



Dario Amodei

Founder & CEO

Market Value at \$965 Billion USD



2026.01.20 -



Annual Meeting
Davos 2026

《The Day After AGI》

- **Engineers may no longer write code:**
AI is only **6~12 months** away from handling most, maybe all, of the end-to-end software engineering.
- **A "Country of Geniuses" in datacenter:**
Imagine 50 million people (AI models) **more capable than any Nobel Prize winner**, who can operate 100 times faster than humans and work autonomously by 2027.
- **Economic disruption:**
AI may take **50% of entry level white-collar jobs** within 5 years, causing unemployment up to 20%.

Furthermore, AI redefines the meaning of work and money



Elon Musk

Founder & CEO

World's Richest Man on Forbes 2026 List

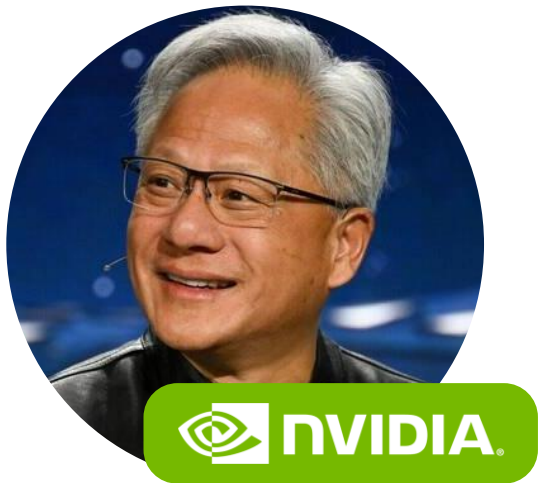


2026.07.23 -

The
Economist

- **Countdown to ASI in 5-10 years:**
AI may **surpass the sum of all human intelligence**, and there won't be anything that AI can't do better than humans, apart from being human.
- **Money won't matter in "Age of Abundance":**
If AI provides **more goods & services** than any human could possibly consume, what do you need money for?
- **Work is going to be optional :**
You can go to a store for pristine vegetables, or you can grow in your own garden, and they will actually be less perfect. That's what work is going to be like.

Entering AI era, semiconductor chips become the "new oil"



Jensen Huang

Founder & CEO

World's Largest Company (5+ Trillion)

” 2026.05.27- Town Hall speech at planned HQ in Taiwan

- **New headquarters "NVIDIA Constellation":**
Construction begins at the end of 2026 and is **set to open in 2030**. The new campus will accommodate 4,000 employees, with a substantial room for **future expansion** in Taiwan.
- **Taiwan is the absolute "Epicenter" of AI:**
Nvidia's **annual investment** in Taiwan supply chain partners has surged to \$100 billion currently, with a trajectory toward **\$150 billion** in the future.



Inevitably, Taiwan is on the frontline of AI's disruptive impact



” While Taiwan's **tech giants & capitalists** are well-prepared for that future to come, what about **the majority of general public**? Are we ready, or **do we have choices**?

What challenges our society is facing? Why talk about UBI?

AI & Robotics

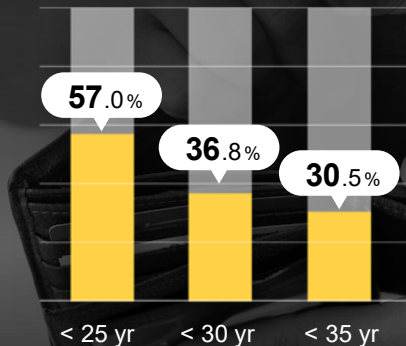
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Gen-Hopeless

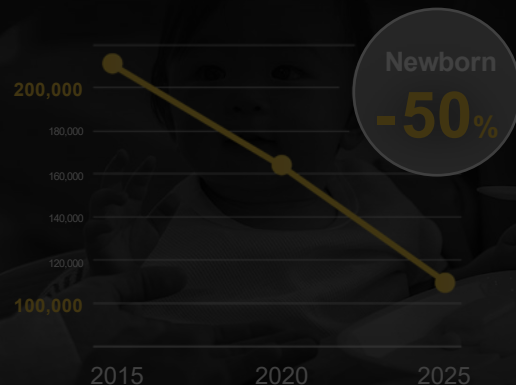
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Labors under Minimum Wages (%)



Social Crisis

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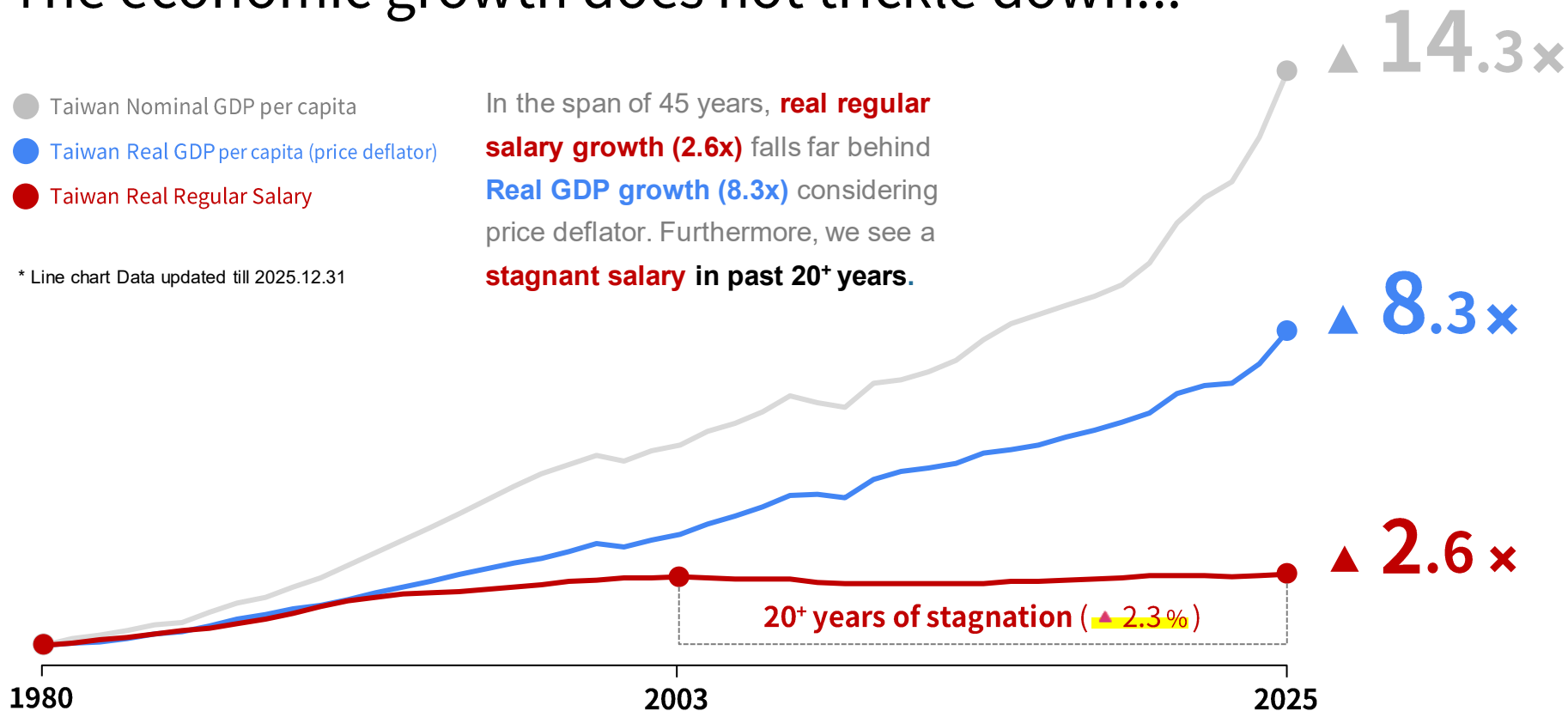


The economic growth does not trickle down...

- Taiwan Nominal GDP per capita
- Taiwan Real GDP per capita (price deflator)
- Taiwan Real Regular Salary

* Line chart Data updated till 2025.12.31

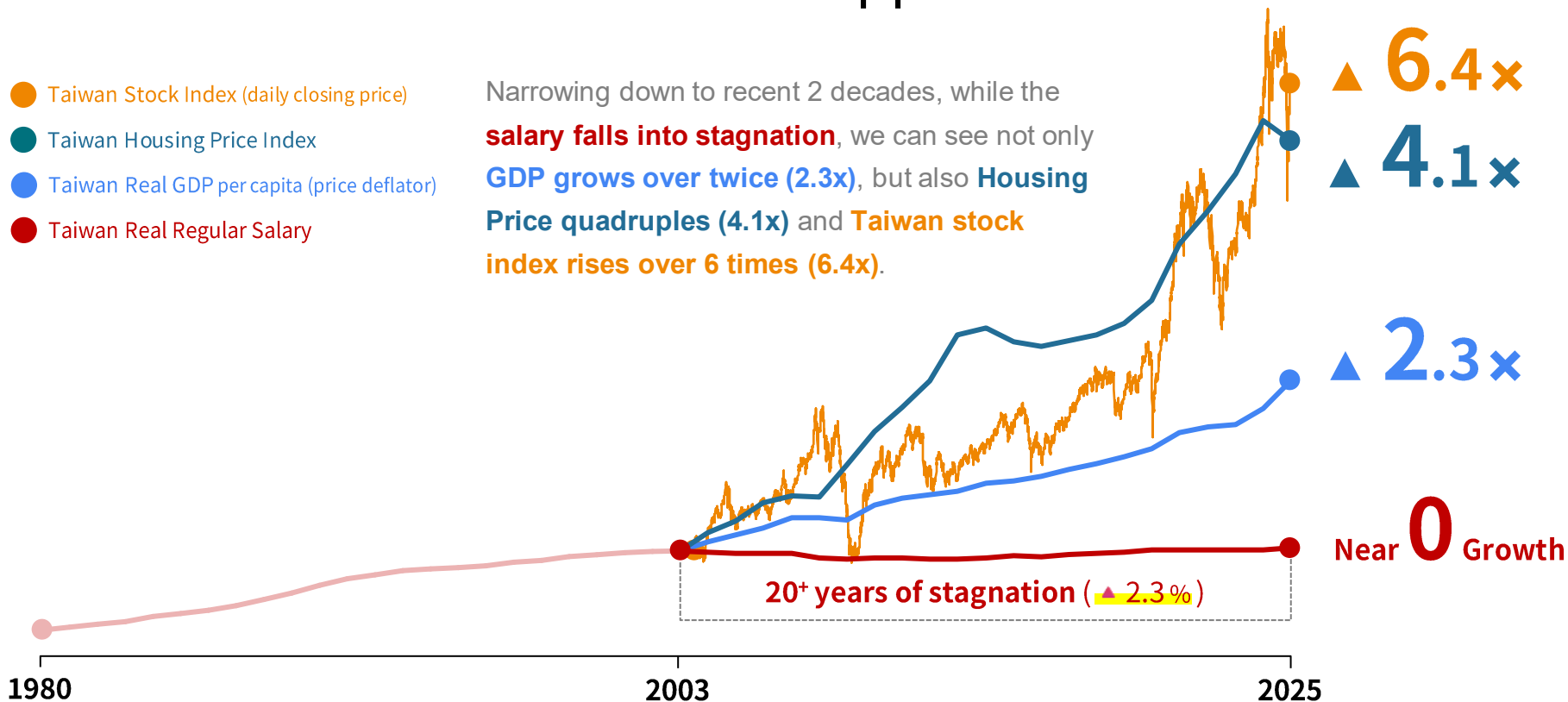
In the span of 45 years, **real regular salary growth (2.6x)** falls far behind **Real GDP growth (8.3x)** considering price deflator. Furthermore, we see a **stagnant salary in past 20+ years.**



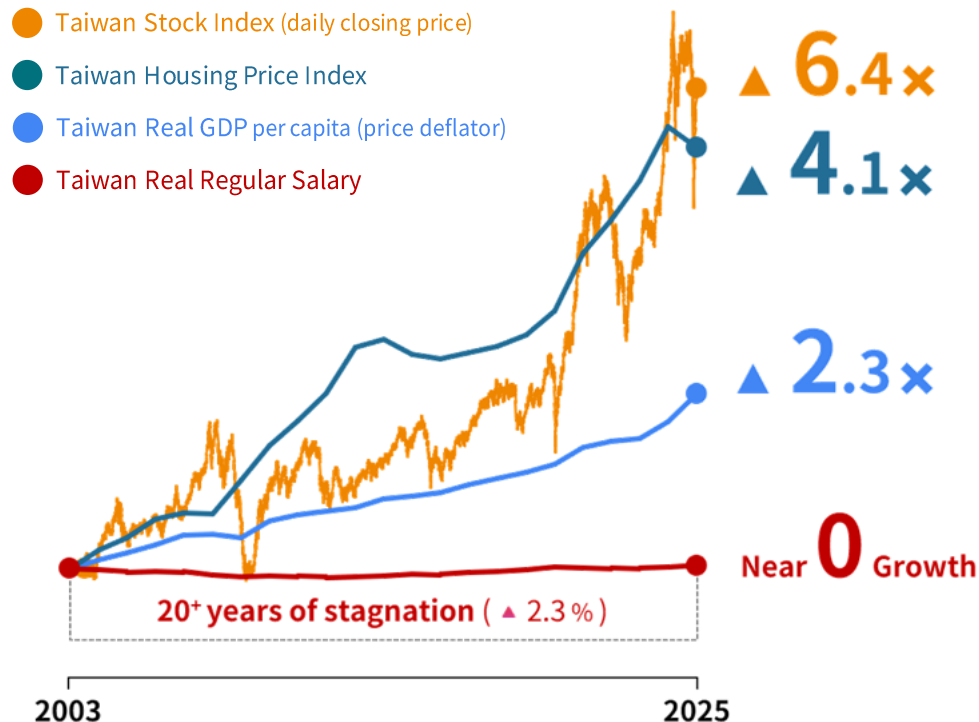
Wealth concentration is an unstoppable beast...

- Taiwan Stock Index (daily closing price)
- Taiwan Housing Price Index
- Taiwan Real GDP per capita (price deflator)
- Taiwan Real Regular Salary

Narrowing down to recent 2 decades, while the **salary falls into stagnation**, we can see not only **GDP grows over twice (2.3x)**, but also **Housing Price quadruples (4.1x)** and **Taiwan stock index rises over 6 times (6.4x)**.



A small group harvests the majority, in all classes

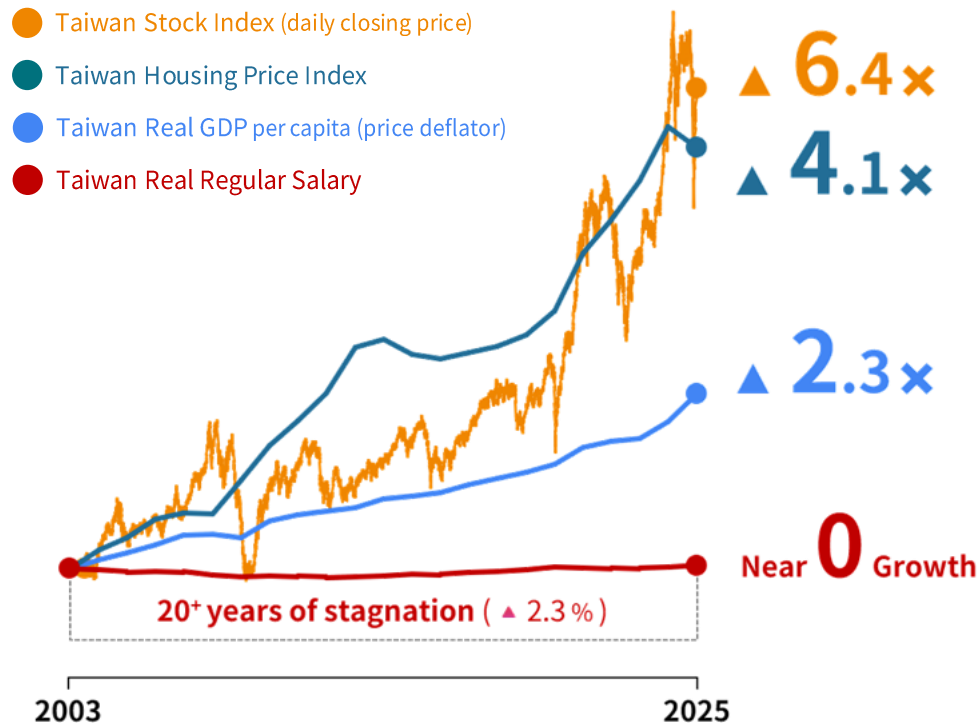


* Weighting Data updated till 2026.08

- 80 % Electronics index
- 57 % Semiconductor / IC
- 45 % TSMC (Ticker: 2330-TW)

7% labors in IC-relevant industry
and only 0.7% working at tsmc

A small group harvests the majority, in all classes



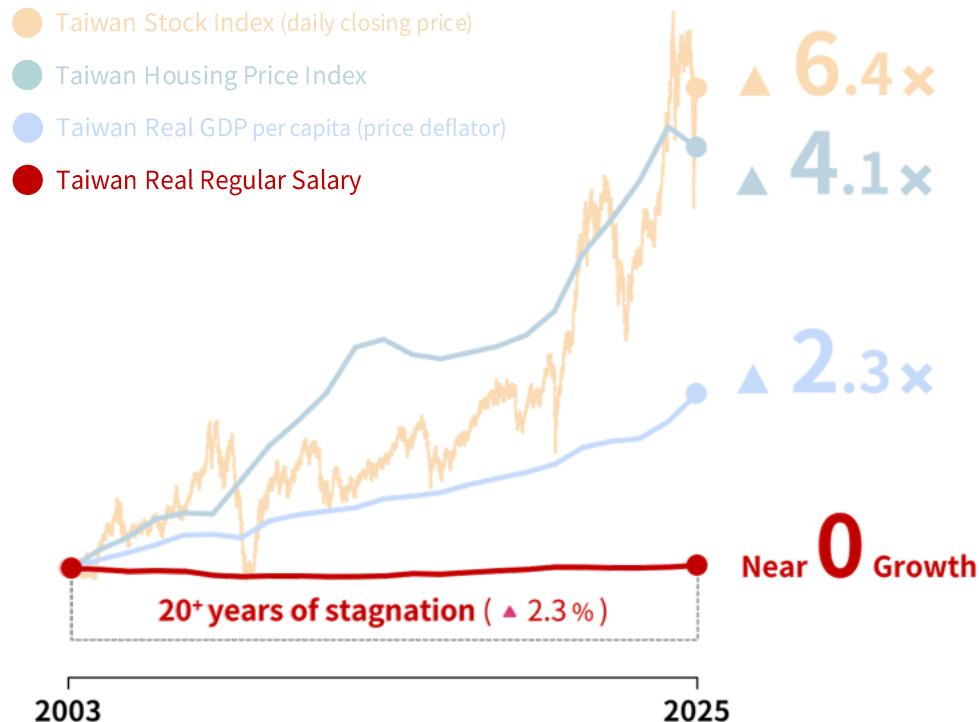
TWSE

Data updated till 2026.08

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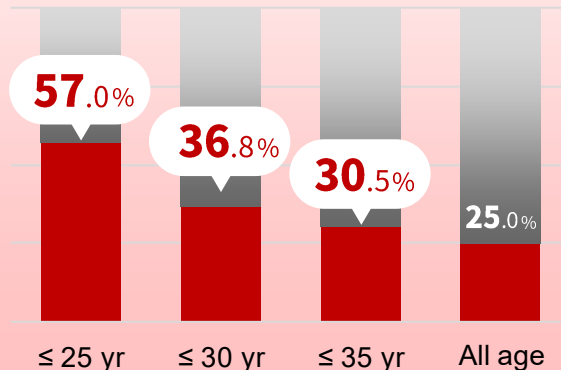
7% labors in **IC-relevant industry**
and only **0.7%** working at **tsmc**

Delve into the bottom group, we see a totally different world

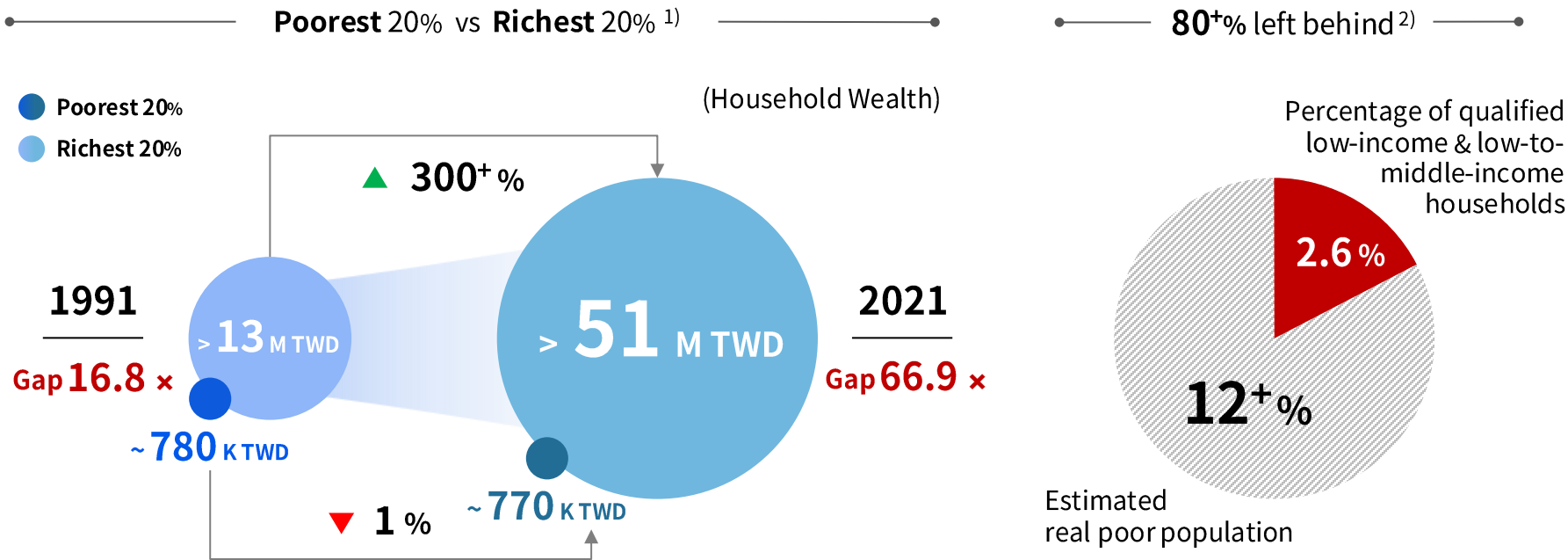


What if **Zero growth** is still glamorized?
According to **Labor Pension Fund** stats, high portion of youth labor are being paid under 28,800 TWD (~890 USD) per month.

Labors under Minimum Wages (%)



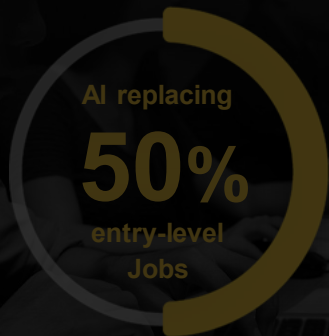
Poor people becomes poorer...and mostly are left behind



What challenges our society is facing? Why talk about UBI?

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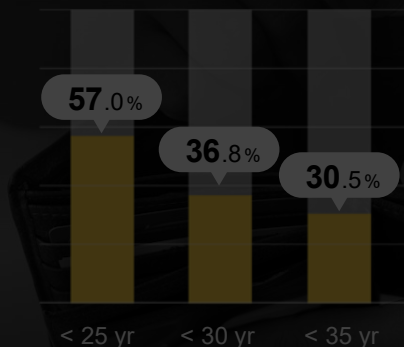
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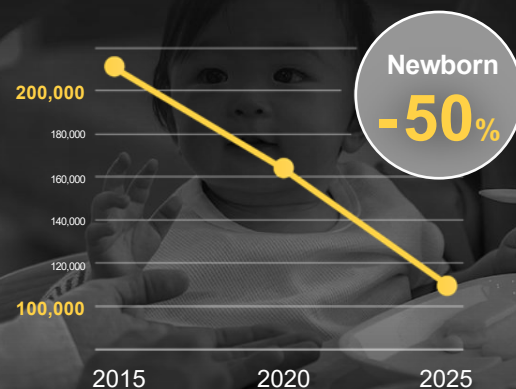
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Social Crisis

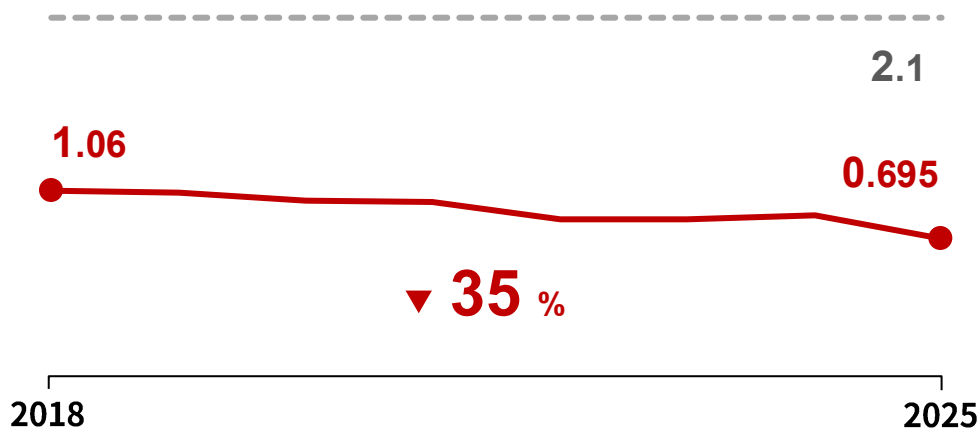
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Birth rate keeps hitting record low, the society can't sustain

● Total Fertility Rate (known as Birth Rate)

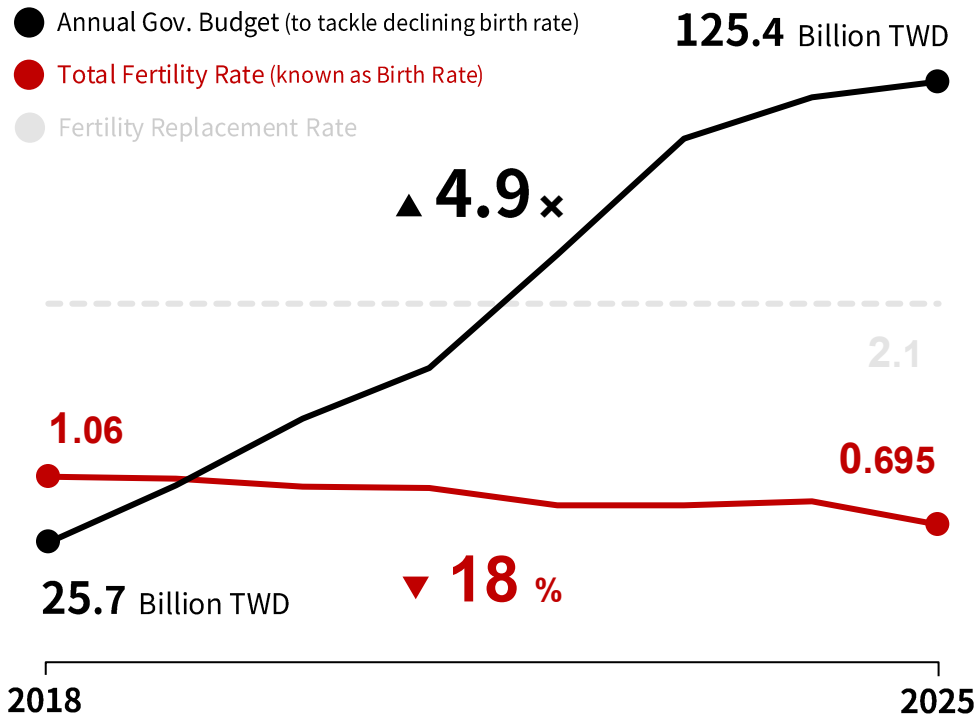
● Fertility Replacement Rate



”

Since 2018, Taiwan's birth rate has been continuously declining to a **record low of 0.695** in 2025, surpassing Korea and becoming the lowest birth-rate country in the world.

Government tries hard, but countermeasures aren't working



”

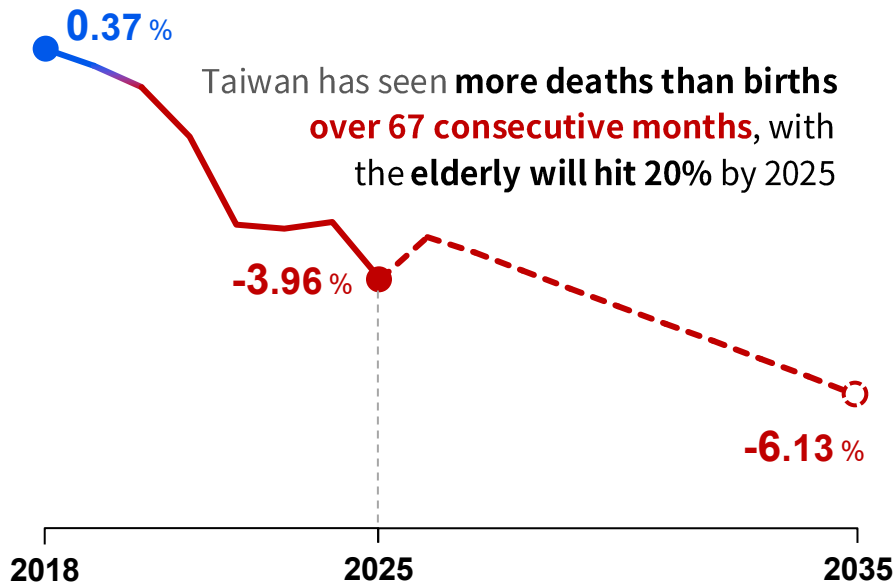
Meanwhile, the **annual budget to counter low birth rate has exceeded \$125 billion TWD.**

However, the result apparently doesn't respond to the Taiwan government's expectation.

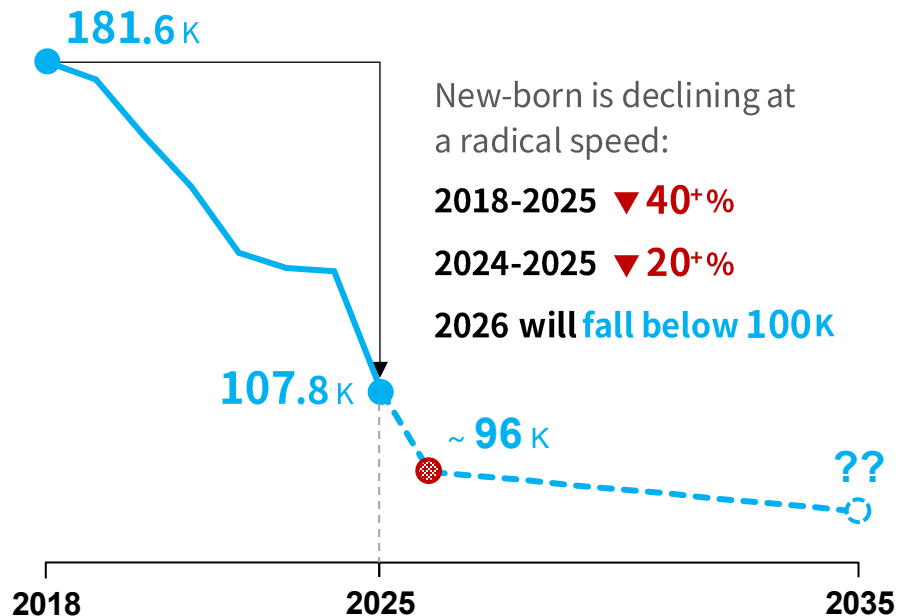
Taiwan's demographic challenge may result in social crisis

● Natural Population Increase Rate > 0

● Natural Population Increase Rate < 0



● Number of Births



As social safety net
faces challenges...

UBI is
becoming
the answer for
global **AI leaders**



Elon Musk, Founder of Tesla & SpaceX

“ AI and robots will creating a vast surplus of goods and services, bringing unprecedented abundance and **Universal High Income**. ”



Sam Altman, Founder of OpenAI

“ Government should tax AI and establish **sovereign wealth fund**, so citizens can become **shareholders of AI companies**. ”



Bill Gates, Founder of Microsoft

“ If we tax human workers, it's very natural that we should consider about **how to tax AI & Robots** in the future. ”

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4. UBI Taiwan's Action Plan & Outlook

Youth UBI as the solution to overcome challenges in Taiwan

	AI Automation	Wealth Inequality	Baby Bust
Challenges	less entry level vacancies for the youth labour	Concentration of Wealth & Stagnant Real Wages	Financial and childcare burdens Persistent decline in fertility rates
Solutions by Youth UBI	• Provides a financial buffer for career transitions and stability. • Fosters AI-resilient skills that is collaborative, cross-functional, and creative. • Accelerates early-career development through vital skills and experience	Youth UBI: Empowering the 18–35 Demographic • Enables risk-taking, career transitions, and innovative entrepreneurship. • Advances social mobility to achieve intergenerational fairness	• Directly ease the financial strain of childrearing, creating a "caregiving safety net" for young parents. • Rebuild youth confidence in future outlooks, family formation, and long-term life planning.

Taiwan's "0-to-18 Full Support" is a form of Youth UBI

*Key takeaway: UBI is coming faster than we think.

0-18 Child Growth Allowance (NT\$5,000 / mon):

- **Ages 0–6:** 100% Cash to alleviate parenting costs.
- **Ages 6–18:** 50% Cash, and 50% growth investment account locked till 18 years-old.
- **At Age 18:** Funds unlocked to support higher education, training, or startups.

UBI Taiwan's Perspective:

1. **Proven Fiscal Feasibility:** An NT\$380B annual budget proves Taiwan can manage large-scale cash transfers.
2. **Investing in Youth for Now & Future:** Supports young parents today while saving a financial launchpad for tomorrow.

We expect Taiwan is on-pace to achieve a more complete Youth UBI (18-35 years old)

- **Expand Coverage:** to address their struggles with **low wages, high housing, and AI shocks**.
- **Deserve Attention:** Unmarried and childless youth also matter to the government.

5 Key questions lead to a practical policy outline

1 Allocation // Who Gets It?

- To phase-in UBI policy, we should consider **starting with specific age group**, most persuasive and pragmatic.

2 Provision // How Much?

- **Poverty line? Minimal living expenses?** Income tax exemption threshold? Universal high income (Elon Musk)?

3 How to Deliver?

- Should UBI be executed **solely by government**, or **private institutions** (e.g. Worldcoin) should take part?
- Should we consider **Central Bank Digital Currency (CBDC)** over traditional fiat currency? What's the difference?

4 Finance // Budget Plan?

- Corporate tax (e.g. VAT)? Capital gains tax? Emerging funding sources (e.g. carbon tax, AI tax, sovereign funds)?

5 Supporting Measures?

- To make sure UBI policy is **feasible, financially predictable**, and the whole system is **resilient & sustainable**.

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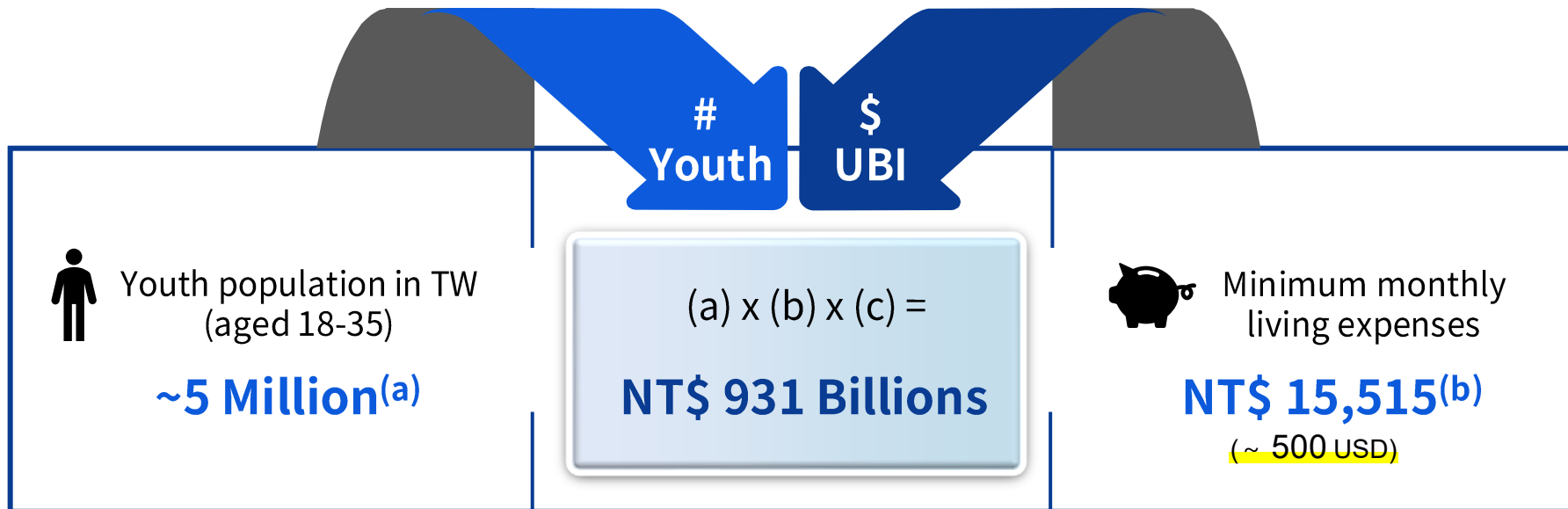
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4. UBI Taiwan's Action Plan & Outlook

Estimated annual UBI expenditure: NT\$ 931 Billions (~ 30 Billions USD)

Estimated annual UBI expenditure = Number of youth^(a) × Monthly UBI^(b) × 12 months^(c)



Does UBI need to be co-designed with Stable Coin / CBDC?

Fiat Currency

A policy with visible / perceptible impact.

Taiwan Government has experiences to execute universal cash handout.

Universal Cash Handout Claimed rate	
2024	99.7%
2025	99.3%

vs.

Stable Coin / CBDC

Directly Central Government to People

Issued by Central Bank, **no currency multiples**

Programmable to incentivize certain behaviors

Data can be Analyzed to **Materialize Impact**

Gov. can **Subtly Adjust** its Data-Driven Policy

” UBI through fiat currency might be the choice in the first step which let people recognize benefit of UBI scheme, and the government will be more comfortable implement UBI scheme.

How

is the funding
sourced?

What

are these sources
of funding?

How

is the
funding
sourced?

Youth UBI funding plan (for 2028) totals **NT\$821 billion**

01 Stable and predictable funding sources

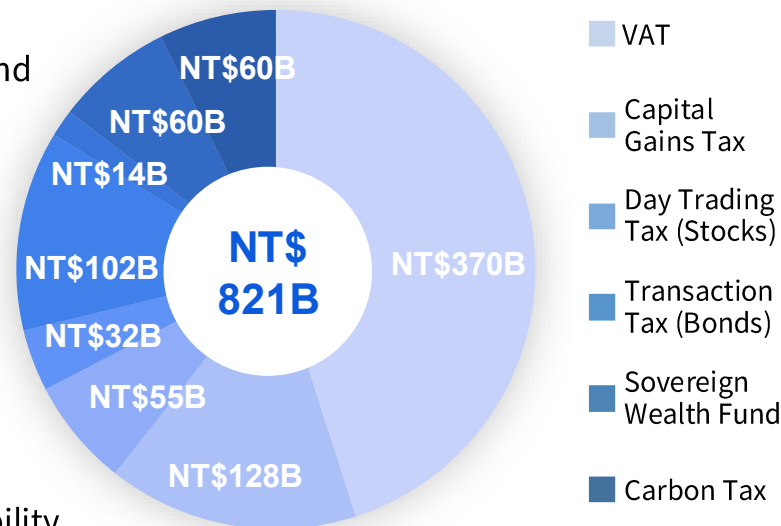
Include existing taxation and emerging funding sources

02 Sufficient scale

Capable of meeting the large financial needs of youth UBI

03 Diverse sources

Aligns with global trends, promotes tax justice, and supports welfare sustainability



What

are these
sources of
funding?

Overview of Existing Taxation

Type	Value Added Tax	Capital Gains Tax	Day Trading Tax (Stocks)	Transaction Tax (Bonds)
Overview	Tax on sales of goods/services	Tax on stock gains	Tax on same-day stock trades	Tax on bond trades
Current tax rate	5%	12%	0.15%	0%
Proposed tax rate	8%	15%	0.30%	0.10%
Estimated Funding	NT\$ 370 billion	NT\$ 128 billion	NT\$ 55 billion	NT\$ 32 billion
Funding Source	Corporations	Institutional investors	Day traders	Institutional investors
Benefits	Follows Asian trend	Follows global trend	Market-driven	Market-driven

What

are these
sources of
funding?

Overview of Existing Taxation

Type	Land Value Tax	Land Value Increment Tax
Overview	Annual property tax on land holdings	Transaction tax due when land is sold or transferred
Current Status	Announced land value is only 19.6% of market value	81.9% of the land transfers are tax-exempt
Proposed Scale	Raise the announced land value to 40% of market value	Non-agricultural transactions included in taxation
Estimated Funding	NT\$ 102 billion	NT\$ 14 billion
Funding Source	Landowners	Landowners
Benefits	Long-undervalued assessments; reform upholds tax fairness	Stricter review of farmland exemptions upholds tax fairness

What

are these
sources of
funding?

Overview of New Funding Sources

Type	Sovereign Wealth Fund	Carbon Tax
Overview	Use foreign reserves to set up a national investment fund	Charge companies based on carbon emissions
Current Status	Not available	Not available
Proposed Scale	NT\$ 3 trillion	NT\$300/tCO ₂ e
Estimated Funding	NT\$ 60 billion/year	NT\$ 60 billion/year
Funding Source	Investment profits	Polluting companies
Benefits	Long-term public gains, fiscal surplus	Follows global trend, polluter pays principle

Value Added Tax – Increase from **5% to 8%, + NT\$370 Billion**

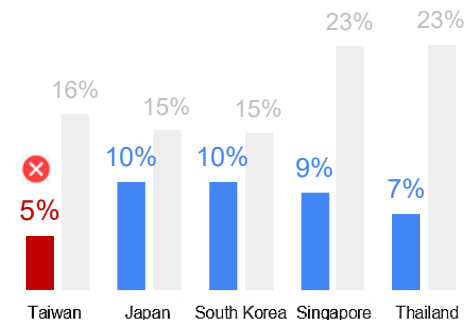
✗ **[Issue]** Taiwan's VAT rate has long remained at **5%, lower than** most neighboring Asian countries.

✓ **[Opportunity]** **Raising the rate** aligns with regional norms and provides **funding for youth UBI**.

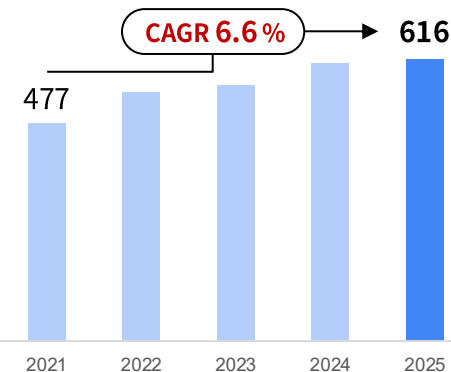
Comparison in Asian Countries

Asian VAT Rates & Revenue Share

■ VAT rate ■ Tax revenue share



Taiwan VAT Revenue (NT\$ B)



Implementation Method

Increase Taiwan's VAT rate from **5% to 8%**, referencing regional benchmarks.

UBI Funding Potential

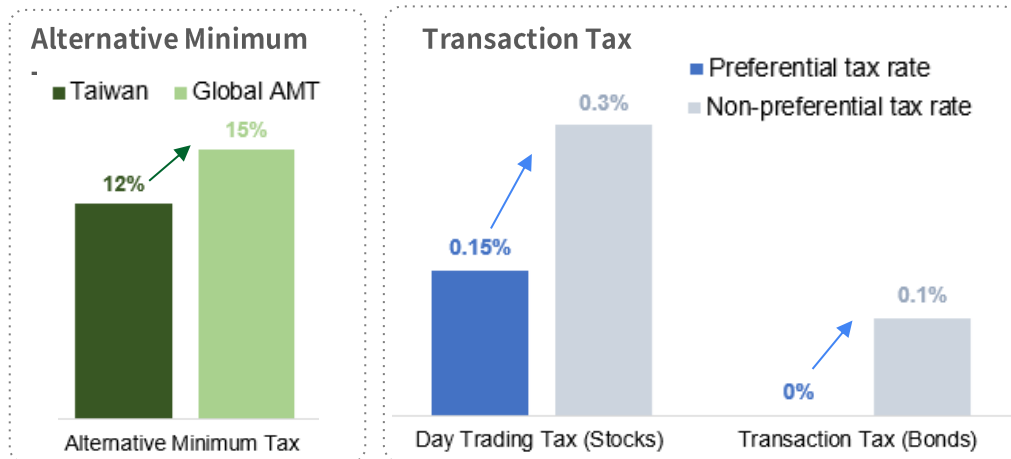
$$\triangle \text{ NT\$ 616B }^{[\text{Note}]} \div 5\% \times (8 - 5\%) =$$

NT\$369.5 Billion

Capital Gains & Transaction Tax Reform + NT\$215 Billion

- ✗ **[Issue]** capital gains tax rate is **below** global norms; equity day trading & bond transactions enjoy **tax breaks**.
- ✓ **[Opportunity]** **Raise taxes** to match global standards, remove outdated breaks, and **fund youth UBI**.

Alternative Minimum Tax on Capital Gains & Transaction Tax Comparison



Implementation Method

1. Raise AMT rate from **12% to 15%**.
2. Remove incentives:
 - Equity day trading tax: **0.15% → 0.3%**
 - Bond transaction tax: **0% → 0.1%**

UBI Funding Potential

- ▲ [Note] $\text{NT\$ } 43\text{T} \times 10\% \times (15 - 12)\%$ +
- ▲ [Note] $\text{NT\$ } 37\text{T} \times (0.3 - 0.15)\%$ +
- ▲ [Note] $\text{NT\$ } 32\text{T} \times (0.1 - 0)\%$ =

NT\$215 Billion

Sovereign Wealth Fund – 2% Annual Return, +NT\$60 Billion

- ❌ **[Issue]** To manage **global market volatility**, Taiwan is planning a government reserve fund.
- ✅ **[Opportunity]** Using **2%** of sovereign fund returns for **youth UBI**, inspired by Alaska fund model.

East Asia Sovereign Fund Size & Return Comparison

	Country	Fund	Size (USD)	Annual Return
	Japan	GPIF	~\$1.5T	4.26%
	South Korea	KIC	~\$205B	4.63%
	Singapore	GIC	~\$700B	4.3%
	Taiwan ✅	Proposed	\$100B (~NT\$3T)	Estimated 5%, allocate 2%

Implementation Method

Proposes a **NT\$3T** sovereign fund sourced from foreign exchange reserves, with **2%** [Note] of annual returns allocated to UBI.

UBI Funding Potential



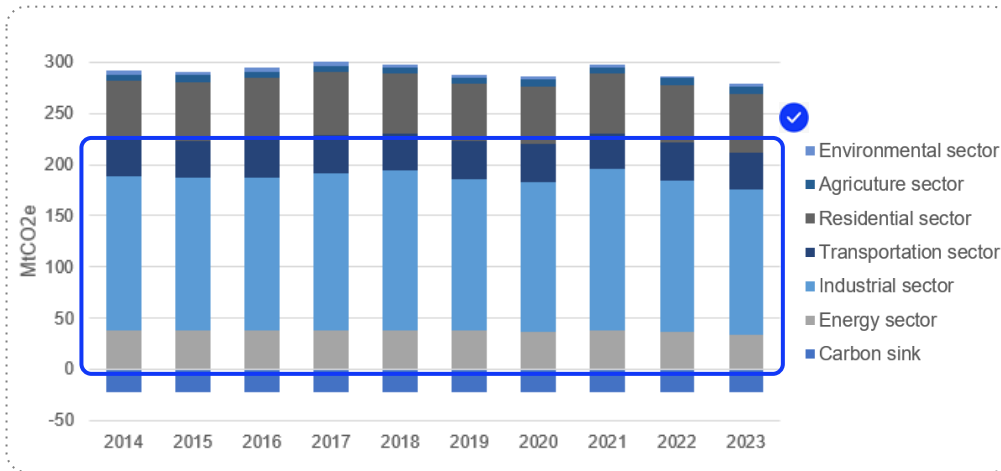
NT\$ 3T x 0.02% =

NT\$60 Billion

Carbon Tax – Expanded Scope, +NT\$60 Billion

- ❌ **[Issue]** Taiwan will implement a **carbon fee** in 2026, but the current framework limits its effectiveness.
- ✅ **[Opportunity]** Carbon tax will **expand** carbon fee coverage and **fund youth UBI**.

Greenhouse Gas Emissions by 6 Major Sectors



Implementation Method

- Calculate CO₂e emissions from the energy, manufacturing, and transportation sectors.
- Carbon tax rate: **NT\$300/tCO₂e**

UBI Funding Potential

▲ [Note] 220 MtCO₂e x
 NT\$300/tCO₂e - NT\$6B =
NT\$60 Billion

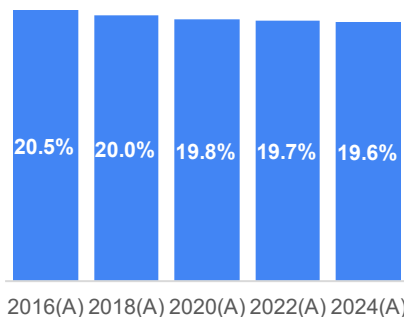
Land Value tax & Land Value increment tax, +NT\$116 Billion

❌ **【Issue】** The Statuary Land Value is just 19.6% of market value. Moreover, 81.9% of lands are exempted from land value increment tax, low tax base and high tax exemption rate caused inequality on land owner's actual tax burden.

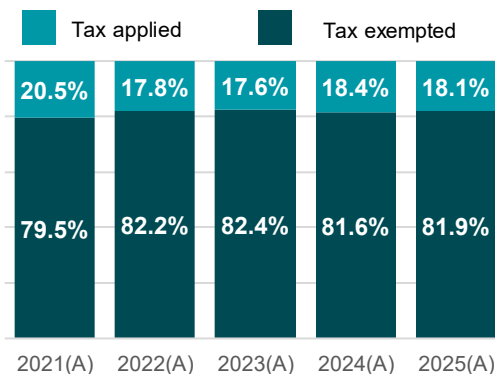
✅ **【Opportunity】** Expand the land tax base by raising officially assessed land values. Enforce stricter audits on agricultural tax exemptions to ensure tax justice. Reinvest revenues directly into youth welfare and a Youth UBI.

Figures of Land Taxation-related Data

Historical Ratio of Assessed Land Value to Market Value



Ratio covered by Land Value Increment Tax



Implementation Method

- Tax base of Land Value tax to increase from 19.6% to 40% of market value.
- Non-agriculture included for taxation.

UBI Funding Potential

$$[note] 98.2 \text{ billion} \times (40\% / 19.6\% - 1) +$$

$$[note] 68.3 \text{ billion} / 18.1\% \times 51\% \times 7.3\%$$

116.3 billion NTD

Source: Ministry of Finance; Note: Revenue of Land Value tax in 2025 is 98.2 billion NTD while the statutory Land Value is 19.6% of market value. ; In 2025 Revenue of Land Value Increment tax is 68.3 billion taken from only 18.1% land that applied tax. In 2024, around 51 % of hand-overed land were activated due to transaction. Ratio of non-agricultural used land/ agricultural land recognized by law is 51%.



Supporting Measures? How to fund the gap?

Where to find
NT\$ 110 Billion?



Budget Plan:

Existing Taxation ×
Emerging Funding Sources

NT\$ 821 Billion

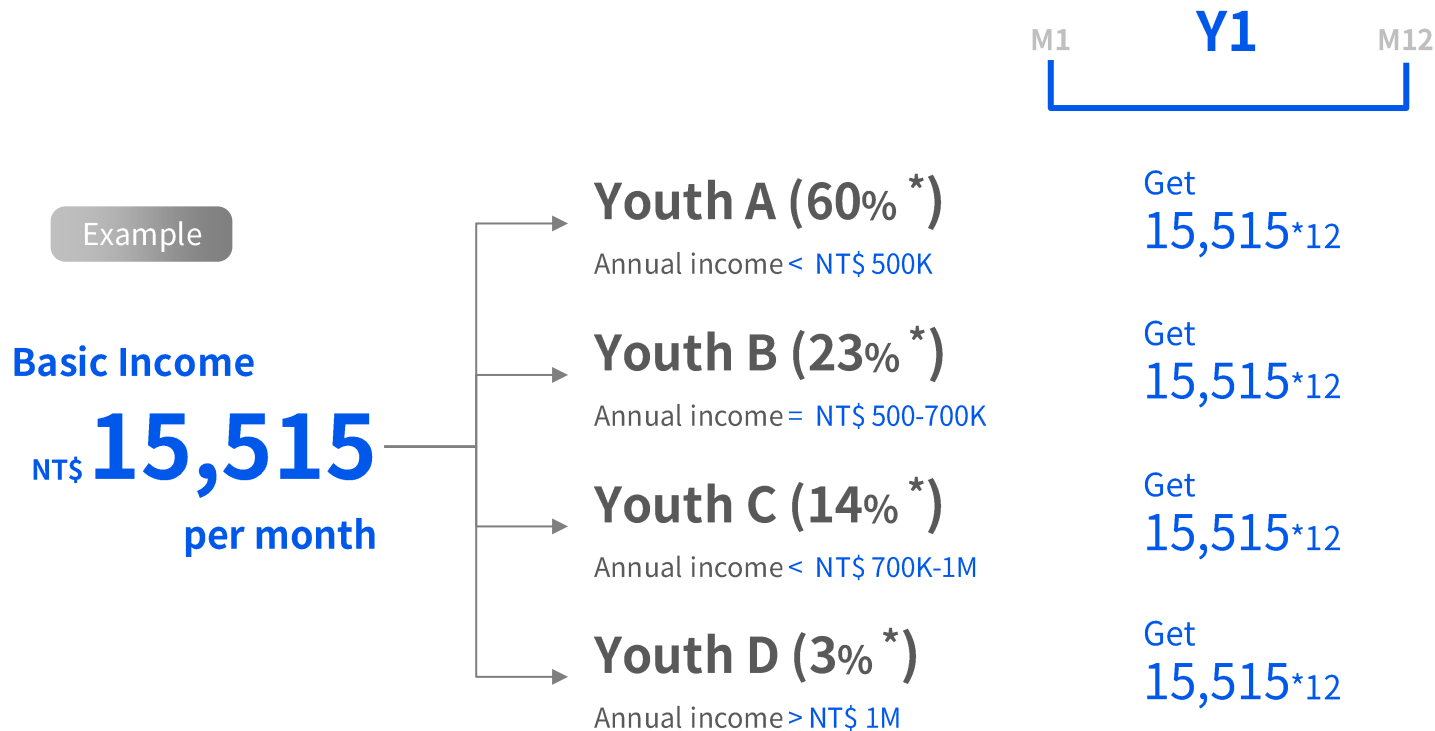


How Much:

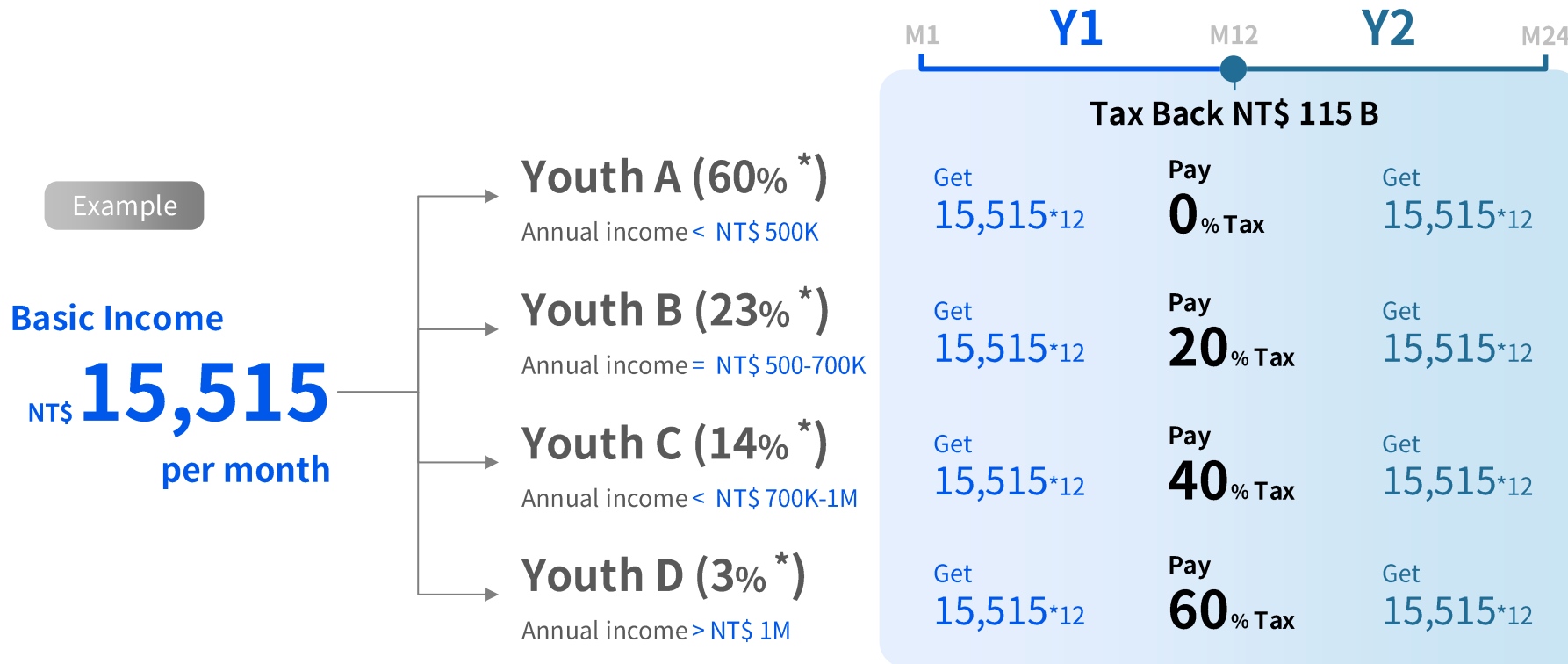
Basic Living Standard ×
Pragmatic Metrics

NT\$ 931 Billion

Basic Income With Tiered Tax-Back Mechanism



Tax-Back Mechanism Activated in Tax Season: +NT\$115B



To Be Continued... Other UBI Supporting Measures

Other Funding Sources

- Robot Tax
- Data Tax
- Luxury Tax
- Land Value Increment Tax
- Estate Tax
- Gift Tax
- Tobacco & Alcohol Health Tax
-

Complementary Systems

- Sabbatical Account
- Negative Income Tax
-

Digital Technology

- New eID
- Digital Wallet
-

.....UBI has the potential to be supported by future policies that bring its vision to life

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4. UBI Taiwan's Expectation on Policymaking



An old Chinese saying goes...

拋 磚 引 玉
pāo zhuān yǐn yù

"Cast a brick, to attract a jade."